

FINANCIAL MODELLING & VALUATION

Marico Limited

Discounted Cash Flow (DCF)
Valuation Model



Prepared By

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Tools Used

- Microsoft Excel
- Screener (Financial Data)
- Corporate Finance & Valuation Techniques

An integrated financial modelling and valuation approach to analyze historical performance, forecast future potential, and estimate the intrinsic value of the business.

PROJECT OVERVIEW

OBJECTIVE	:	To estimate the intrinsic value of Marico Limited using the Discounted Cash Flow (DCF) valuation approach.
COMPANY	:	Marico Limited
VALUATION METHODOLOGY	:	Discounted Cash Flow (DCF) Valuation
KEY ASSUMPTIONS	:	- Forecast period of 5 years with a continuing (terminal) growth rate beyond the forecast period. - Revenue growth derived based on historical performance and management outlook. - Operating margins assumed based on historical trend and industry dynamics. - Tax rate assumed in line with the company's historical effective tax rate. - WACC calculated using CAPM for Cost of Equity and after-tax Cost of Debt. - Terminal growth rate based on long-term GDP growth expectations. - All values are in INR.

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Historical Financial Statements

Historical Financial Statement -MARICO LTD											
Years	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26	LTM
# Income Statement											
Sales	₹ 5,917.8	₹ 6,322.0	₹ 7,334.0	₹ 7,315.0	₹ 8,048.0	₹ 9,512.0	₹ 9,764.0	₹ 9,653.0	₹ 10,831.0	₹ 13,611.0	₹ 13,611.0
Sales Growth	-	6.83%	16.01%	-0.26%	10.02%	18.19%	2.65%	-1.14%	12.20%	25.67%	0.00%
COGS	₹ 3,534.0	₹ 4,094.0	₹ 4,832.0	₹ 4,576.0	₹ 5,172.0	₹ 6,374.0	₹ 6,356.0	₹ 5,871.0	₹ 6,652.0	₹ 8,475.0	₹ 11,283.0
COGS % Sales	59.72%	64.76%	65.88%	62.56%	64.26%	67.01%	65.10%	60.82%	61.42%	62.27%	82.90%
Gross Profit	₹ 2,383.8	₹ 2,228.0	₹ 2,502.0	₹ 2,739.0	₹ 2,876.0	₹ 3,138.0	₹ 3,408.0	₹ 3,782.0	₹ 4,179.0	₹ 5,136.0	₹ 2,328.0
Gross Margins	40.28%	35.24%	34.12%	37.44%	35.74%	32.99%	34.90%	39.18%	38.58%	37.73%	17.10%
Selling and General Expenses	₹ 1,224.5	₹ 1,091.0	₹ 1,177.0	₹ 1,270.0	₹ 1,287.0	₹ 1,457.0	₹ 1,598.0	₹ 1,756.0	₹ 2,040.0	₹ 2,808.0	₹ 0.0
S&G Exp % Sales	20.69%	17.26%	16.05%	17.36%	15.99%	15.32%	16.37%	18.19%	18.83%	20.63%	0.00%
EBITDA	₹ 1,159.3	₹ 1,137.0	₹ 1,325.0	₹ 1,469.0	₹ 1,589.0	₹ 1,681.0	₹ 1,810.0	₹ 2,026.0	₹ 2,139.0	₹ 2,328.0	₹ 2,328.0
EBITDA Margins	19.59%	17.98%	18.07%	20.08%	19.74%	17.67%	18.54%	20.99%	19.75%	17.10%	17.10%
Interest	₹ 16.6	₹ 16.0	₹ 40.0	₹ 50.0	₹ 34.0	₹ 39.0	₹ 56.0	₹ 73.0	₹ 53.0	₹ 53.0	₹ 53.0
Interest % Sales	0.28%	0.25%	0.55%	0.68%	0.42%	0.41%	0.57%	0.76%	0.49%	0.39%	0.39%
Depreciation	₹ 90.3	₹ 89.0	₹ 131.0	₹ 140.0	₹ 139.0	₹ 139.0	₹ 155.0	₹ 158.0	₹ 178.0	₹ 202.0	₹ 202.0
Depreciation % asles	1.53%	1.41%	1.79%	1.91%	1.73%	1.46%	1.59%	1.64%	1.64%	1.48%	1.48%
Earnings Before Tax	₹ 1,052.4	₹ 1,032.0	₹ 1,154.0	₹ 1,279.0	₹ 1,416.0	₹ 1,503.0	₹ 1,599.0	₹ 1,795.0	₹ 1,908.0	₹ 2,073.0	₹ 2,073.0
EBT % Sales	17.78%	16.32%	15.73%	17.48%	17.59%	15.80%	16.38%	18.60%	17.62%	15.23%	15.23%
Tax	₹ 337.7	₹ 290.0	₹ 126.0	₹ 331.0	₹ 324.0	₹ 346.0	₹ 421.0	₹ 435.0	₹ 458.0	₹ 464.0	₹ 464.0
Effective Tax Rate	32.09%	28.10%	10.92%	25.88%	22.88%	23.02%	26.33%	24.23%	24.00%	22.38%	22.38%
Net Profit	₹ 714.7	₹ 742.0	₹ 1,028.0	₹ 948.0	₹ 1,092.0	₹ 1,157.0	₹ 1,178.0	₹ 1,360.0	₹ 1,450.0	₹ 1,609.0	₹ 1,609.0
Net Margins	12.08%	11.74%	14.02%	12.96%	13.57%	12.16%	12.06%	14.09%	13.39%	11.82%	11.82%
No. of Equity Shares	₹ 129.1	₹ 129.1	₹ 129.1	₹ 129.1	₹ 129.1	₹ 129.3	₹ 129.3	₹ 129.4	₹ 129.6	₹ 129.8	₹ 0.0
Earnings Per Shares	₹ 5.54	₹ 5.75	₹ 7.96	₹ 7.34	₹ 8.46	₹ 8.95	₹ 9.11	₹ 10.51	₹ 11.19	₹ 12.40	₹ 0.00
EPS Growth %		3.79%	38.54%	-7.79%	15.15%	5.84%	1.79%	15.36%	6.50%	10.74%	-100.00%
Dividend Per Shares	₹ 3.50	₹ 4.25	₹ 4.75	₹ 6.74	₹ 7.49	₹ 9.23	₹ 4.49	₹ 9.47	₹ 10.46	₹ 4.01	₹ 0.00
Dividend Payout Ratio	63.20%	73.89%	59.61%	91.85%	88.60%	103.13%	49.28%	90.11%	93.41%	32.32%	0.00%
Retained Earn=ings	36.80%	26.11%	40.39%	8.15%	11.40%	0.00%	50.72%	9.89%	6.59%	67.68%	0.00%
# Balance Sheet											
Equity Share Capital	₹ 129.05	₹ 129.00	₹ 129.00	₹ 129.00	₹ 129.00	₹ 129.00	₹ 129.00	₹ 129.00	₹ 129.00	₹ 130.00	
Reserves	₹ 2,196.63	₹ 2,414.00	₹ 2,846.00	₹ 2,894.00	₹ 3,111.00	₹ 3,219.00	₹ 3,670.00	₹ 3,703.00	₹ 3,846.00	₹ 4,080.00	
Borrowings	₹ 238.80	₹ 312.00	₹ 352.00	₹ 338.00	₹ 511.00	₹ 479.00	₹ 608.00	₹ 528.00	₹ 554.00	₹ 557.00	
Other Liabilities	₹ 1,058.73	₹ 1,217.00	₹ 1,569.00	₹ 1,603.00	₹ 1,675.00	₹ 1,850.00	₹ 2,393.00	₹ 2,993.00	₹ 3,752.00	₹ 5,308.00	
Total Liabilities	₹ 3,623.21	₹ 4,072.00	₹ 4,896.00	₹ 4,964.00	₹ 5,426.00	₹ 5,677.00	₹ 6,800.00	₹ 7,353.00	₹ 8,281.00	₹ 10,075.00	
Fixed Assets Net Block	₹ 1,084.70	₹ 1,110.00	₹ 1,300.00	₹ 1,396.00	₹ 1,612.00	₹ 1,760.00	₹ 2,246.00	₹ 2,724.00	₹ 2,758.00	₹ 3,633.00	
Capital Work in Progress	₹ 11.16	₹ 27.00	₹ 45.00	₹ 58.00	₹ 24.00	₹ 39.00	₹ 67.00	₹ 44.00	₹ 40.00	₹ 85.00	
Investments	₹ 608.21	₹ 543.00	₹ 450.00	₹ 733.00	₹ 854.00	₹ 828.00	₹ 1,096.00	₹ 602.00	₹ 1,590.00	₹ 2,083.00	
Other Assets	₹ 182.75	₹ 340.00	₹ 621.00	₹ 579.00	₹ 478.00	₹ 407.00	₹ 395.00	₹ 635.00	₹ 610.00	₹ 866.00	
Total Non Current Assets	₹ 1,886.82	₹ 2,020.00	₹ 2,416.00	₹ 2,766.00	₹ 2,968.00	₹ 3,034.00	₹ 3,804.00	₹ 4,005.00	₹ 4,998.00	₹ 6,667.00	
Receivables	₹ 246.99	₹ 340.00	₹ 517.00	₹ 539.00	₹ 388.00	₹ 652.00	₹ 1,015.00	₹ 1,069.00	₹ 1,271.00	₹ 1,304.00	
Inventory	₹ 1,253.44	₹ 1,511.00	₹ 1,411.00	₹ 1,380.00	₹ 1,126.00	₹ 1,412.00	₹ 1,225.00	₹ 1,336.00	₹ 1,235.00	₹ 1,611.00	
Cash & Bank	₹ 235.96	₹ 201.00	₹ 552.00	₹ 279.00	₹ 944.00	₹ 579.00	₹ 756.00	₹ 943.00	₹ 777.00	₹ 493.00	
Total Current Assets	₹ 1,736.39	₹ 2,052.00	₹ 2,480.00	₹ 2,198.00	₹ 2,458.00	₹ 2,643.00	₹ 2,996.00	₹ 3,348.00	₹ 3,283.00	₹ 3,408.00	
Total Assets	₹ 3,623.21	₹ 4,072.00	₹ 4,896.00	₹ 4,964.00	₹ 5,426.00	₹ 5,677.00	₹ 6,800.00	₹ 7,353.00	₹ 8,281.00	₹ 10,075.00	
Check	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	
# Cash Flow Statement (Indetail)											
Operating Activities											
Profit from operations	₹ 1,215.00	₹ 1,160.00	₹ 1,361.00	₹ 1,475.00	₹ 1,617.00	₹ 1,709.00	₹ 1,847.00	₹ 2,040.00	₹ 2,219.00	₹ 2,397.00	
Receivables	₹ 5.00	₹ (93.00)	₹ (177.00)	₹ (22.00)	₹ 147.00	₹ (272.00)	₹ (360.00)	₹ (52.00)	₹ (205.00)	₹ (2.00)	
Inventory	₹ (328.00)	₹ (257.00)	₹ 100.00	₹ 31.00	₹ 251.00	₹ (286.00)	₹ 191.00	₹ (101.00)	₹ 101.00	₹ (352.00)	
Payables	₹ 28.00	₹ 125.00	₹ 121.00	₹ 10.00	₹ 184.00	₹ 210.00	₹ 99.00	₹ 106.00	₹ (218.00)	₹ 282.00	
Loans Advances	₹ 0.00	₹ 2.00	₹ (1.00)	₹ (1.00)	₹ (60.00)	₹ 1.00	₹ 1.00	₹ 9.00	₹ (3.00)	₹ 11.00	
Other WC items	₹ 25.00	₹ (126.00)	₹ (22.00)	₹ 11.00	₹ 153.00	₹ 5.00	₹ 10.00	₹ (188.00)	₹ 32.00	₹ 314.00	

Direct taxes	₹ (296.00)	₹ (295.00)	₹ (320.00)	₹ (290.00)	₹ (285.00)	₹ (351.00)	₹ (369.00)	₹ (378.00)	₹ (484.00)	₹ (565.00)
Other operating items	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ (1.00)
Exceptional CF items	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ (49.00)	₹ (79.00)	₹ 0.00
Cash From Operating Activities	₹ 649.00	₹ 516.00	₹ 1,062.00	₹ 1,214.00	₹ 2,007.00	₹ 1,016.00	₹ 1,419.00	₹ 1,387.00	₹ 1,363.00	₹ 2,084.00

Investing Activities

Fixed assets purchased	₹ (87.00)	₹ (133.00)	₹ (162.00)	₹ (188.00)	₹ (142.00)	₹ (132.00)	₹ (182.00)	₹ (153.00)	₹ (161.00)	₹ (319.00)
Fixed assets sold	₹ 6.00	₹ 5.00	₹ 19.00	₹ 8.00	₹ 5.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 7.00
Investments purchased	₹ 0.00	₹ 0.00	₹ 0.00	₹ (189.00)	₹ 0.00	₹ (146.00)	₹ (130.00)	₹ 0.00	₹ (972.00)	₹ (486.00)
Investments sold	₹ 1.00	₹ 70.00	₹ 103.00	₹ 0.00	₹ 164.00	₹ 3.00	₹ 25.00	₹ 398.00	₹ 99.00	₹ 145.00
Interest received	₹ 34.00	₹ 35.00	₹ 49.00	₹ 72.00	₹ 52.00	₹ 57.00	₹ 48.00	₹ 66.00	₹ 70.00	₹ 24.00
Dividends received	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00
Investment in group cos	₹ (17.00)	₹ (4.00)	₹ (6.00)	₹ (3.00)	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00
Redemp n Canc of Shares	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 1.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00
Acquisition of companies	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ (55.00)	₹ (277.00)	₹ (103.00)	₹ 0.00	₹ (452.00)
Inter corporate deposits	₹ (29.00)	₹ 0.00	₹ 20.00	₹ 44.00	₹ (295.00)	₹ 0.00	₹ (90.00)	₹ 200.00	₹ 0.00	₹ 0.00
Other investing items	₹ (34.00)	₹ 86.00	₹ (390.00)	₹ 234.00	₹ (718.00)	₹ 714.00	₹ (322.00)	₹ (232.00)	₹ 343.00	₹ 359.00
Cash From Investing Activities	₹ (126.00)	₹ 59.00	₹ (367.00)	₹ (22.00)	₹ (933.00)	₹ 441.00	₹ (928.00)	₹ 176.00	₹ (621.00)	₹ (722.00)

Financing Activities

Proceeds from shares	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 6.00	₹ 41.00	₹ 9.00	₹ 34.00	₹ 46.00	₹ 154.00
Redemption of debentures	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00
Proceeds from borrowings	₹ 0.00	₹ 0.00	₹ 40.00	₹ 0.00	₹ 13.00	₹ 0.00	₹ 132.00	₹ 2.00	₹ 0.00	₹ 0.00
Repayment of borrowings	₹ 0.00	₹ 0.00	₹ 0.00	₹ (15.00)	₹ 0.00	₹ (11.00)	₹ 0.00	₹ (91.00)	₹ (17.00)	₹ (24.00)
Interest paid fin	₹ (17.00)	₹ (16.00)	₹ (39.00)	₹ (50.00)	₹ (34.00)	₹ (39.00)	₹ (53.00)	₹ (65.00)	₹ (65.00)	₹ (53.00)
Dividends paid	₹ (509.00)	₹ (636.00)	₹ (682.00)	₹ (1,026.00)	₹ (990.00)	₹ (1,217.00)	₹ (607.00)	₹ (1,229.00)	₹ (500.00)	₹ (989.00)
Financial liabilities	₹ 0.00	₹ 0.00	₹ (29.00)	₹ (38.00)	₹ (44.00)	₹ (64.00)	₹ (41.00)	₹ (52.00)	₹ (43.00)	₹ (64.00)
Other financing items	₹ (48.00)	₹ 85.00	₹ 12.00	₹ (18.00)	₹ (9.00)	₹ 0.00	₹ 0.00	₹ (141.00)	₹ (70.00)	₹ (303.00)
Cash From Financing Activities	₹ (574.00)	₹ (567.00)	₹ (698.00)	₹ (1,147.00)	₹ (1,058.00)	₹ (1,290.00)	₹ (560.00)	₹ (1,542.00)	₹ (649.00)	₹ (1,279.00)

Net Cash Flow	₹ (51.00)	₹ 8.00	₹ (3.00)	₹ 45.00	₹ 16.00	₹ 167.00	₹ (69.00)	₹ 21.00	₹ 93.00	₹ 83.00
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Cash Flow Statement (Short)

Cash flow from operating activities	₹ 648.73	₹ 516.00	₹ 1,062.00	₹ 1,214.00	₹ 2,007.00	₹ 1,016.00	₹ 1,419.00	₹ 1,387.00	₹ 1,363.00	₹ 2,084.00
Cash flow from the investing activitie	₹ (125.29)	₹ 59.00	₹ (367.00)	₹ (22.00)	₹ (933.00)	₹ 441.00	₹ (928.00)	₹ 176.00	₹ (621.00)	₹ (722.00)
Cash flow from the financing activitie	₹ (573.95)	₹ (567.00)	₹ (698.00)	₹ (1,147.00)	₹ (1,058.00)	₹ (1,290.00)	₹ (560.00)	₹ (1,542.00)	₹ (649.00)	₹ (1,279.00)
Net cash flow	₹ (50.51)	₹ 8.00	₹ (3.00)	₹ 45.00	₹ 16.00	₹ 167.00	₹ (69.00)	₹ 21.00	₹ 93.00	₹ 83.00

Ratio Analysis of MARICO LTD													
Years	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26	Trend	Mean	Median
Sales Growth		6.83%	16.01%	-0.26%	10.02%	18.19%	2.65%	-1.14%	12.20%	25.67%		10.02%	10.02%
EBITDA Growth		-1.92%	16.53%	10.87%	8.17%	5.79%	7.67%	11.93%	5.58%	8.84%		8.16%	8.17%
EBIT Growth		-1.94%	11.82%	10.83%	10.71%	6.14%	6.39%	12.26%	6.30%	8.65%		7.91%	8.65%
Net Profit Growth		3.83%	38.54%	-7.78%	15.19%	5.95%	1.82%	15.45%	6.62%	10.97%		10.06%	6.62%
Dividend Growth		21.34%	11.76%	42.09%	11.08%	23.20%	-51.36%	110.95%	10.41%	-61.69%		13.09%	11.76%
Gross Margin	40.28%	35.24%	34.12%	37.44%	35.74%	32.99%	34.90%	39.18%	38.58%	37.73%		36.21%	36.59%
EBITDA Margin	19.59%	17.98%	18.07%	20.08%	19.74%	17.67%	18.54%	20.99%	19.75%	17.10%		18.88%	19.06%
EBIT Margin	18.06%	16.58%	16.28%	18.17%	18.02%	16.21%	16.95%	19.35%	18.11%	15.62%		17.25%	17.48%
EBT Margin	17.78%	16.32%	15.73%	17.48%	17.59%	15.80%	16.38%	18.60%	17.62%	15.23%		16.75%	16.93%
Net Profit Margin	12.08%	11.74%	14.02%	12.96%	13.57%	12.16%	12.06%	14.09%	13.39%	11.82%		12.87%	12.56%
SalesExpense%Sales	20.69%	17.26%	16.05%	17.36%	15.99%	15.32%	16.37%	18.19%	18.83%	20.63%		17.33%	17.31%
Depreciation%Sales	1.53%	1.41%	1.79%	1.91%	1.73%	1.46%	1.59%	1.64%	1.64%	1.48%		1.63%	1.61%
OperatingIncome%Sales	18.06%	16.58%	16.28%	18.17%	18.02%	16.21%	16.95%	19.35%	18.11%	15.62%		17.25%	17.48%
Return on Capital Employed	41.68%	36.71%	35.89%	39.54%	38.66%	40.29%	37.55%	42.84%	43.30%	44.60%		39.93%	39.92%
Retained Earnings %	36.80%	26.11%	40.39%	8.15%	11.40%	0.00%	50.72%	9.89%	6.59%	67.68%		24.55%	18.76%
Return on Equity %	30.73%	29.18%	34.55%	31.36%	33.70%	34.56%	31.01%	35.49%	36.48%	38.22%		33.84%	34.13%
Self Sustained Growth Rate	11.31%	7.62%	13.96%	2.56%	3.84%	0.00%	15.73%	3.51%	2.40%	25.87%		8.39%	5.73%
Interest Coverage Ratio	64.47x	65.50x	29.85x	26.58x	42.65x	39.54x	29.55x	25.59x	37.00x	40.11x		3737.46%	3826.92%
Debtor Turnover Ratio	23.96x	18.59x	14.19x	13.57x	20.74x	14.59x	9.62x	9.03x	8.52x	10.44x		13.25x	13.88x
Creditor Turnover Ratio	5.59x	5.19x	4.67x	4.56x	4.80x	5.14x	4.08x	3.23x	2.89x	2.56x		4.13x	4.62x
Inventory Turnover Raio	4.72x	4.18x	5.20x	5.30x	7.15x	6.74x	7.97x	7.23x	8.77x	8.45x		6.78x	6.94x
Fixed Asset Turnover Ratio	5.46x	5.70x	5.64x	5.24x	4.99x	5.40x	4.35x	3.54x	3.93x	3.75x		4.73x	5.12x
Capital Turnover Ratio	2.54x	2.49x	2.47x	2.42x	2.48x	2.84x	2.57x	2.52x	2.72x	3.23x		2.64x	2.53x
Debtor Days	15 days	20 days	26 days	27 days	18 days	25 days	38 days	40 days	43 days	35 days		30 days	26 days
Payable Days	65 days	70 days	78 days	80 days	76 days	71 days	89 days	113 days	126 days	142 days		94 days	79 days
Inventory Days	77 days	87 days	70 days	69 days	51 days	54 days	46 days	51 days	42 days	43 days		57 days	53 days
Cash Conversion Cycle	27 days	37 days	18 days	16 days	-7 days	8 days	-6 days	-22 days	-42 days	-64 days		-7 days	1 days
CFO/Sales	10.96%	8.16%	14.48%	16.60%	24.94%	10.68%	14.53%	14.37%	12.58%	15.31%		14.63%	14.42%
CFO/Total Asset	17.90%	12.67%	21.69%	24.46%	36.99%	17.90%	20.87%	18.86%	16.46%	20.68%		21.18%	19.77%
CFO/Total Debt	271.66%	165.38%	301.70%	359.17%	392.76%	212.11%	233.39%	262.69%	246.03%	374.15%		283.04%	267.18%

Forecasting

MARICO LTD - Sales

Year Weught	Year	Sales	Sales Growth
1	2017A	5,917.8	
2	2018A	6,322.0	6.83%
3	2019A	7,334.0	16.01%
4	2020A	7,315.0	-0.26%
5	2021A	8,048.0	10.02%
6	2022A	9,512.0	18.19%
7	2023A	9,764.0	2.65%
8	2024A	9,653.0	-1.14%
9	2025A	10,831.0	12.20%
10	2026A	13,611.0	25.67%
11	2027E	12,871.0	-5.44%
12	2028E	13,605.6	5.71%
13	2029E	14,340.2	5.40%
14	2030E	15,074.8	5.12%
15	2031E	15,809.4	4.87%

MARICO LTD - EBITDA Growth

Year Weught	Year	Sales	Sales Growth
1	2022A	1,159.3	
2	2023A	1,137.0	-1.92%
3	2024A	1,325.0	16.53%
4	2025A	1,469.0	10.87%
5	2026A	1,589.0	8.17%
6	2027A	1,681.0	5.79%
7	2028A	1,810.0	7.67%
8	2029A	2,026.0	11.93%
9	2030A	2,139.0	5.58%
10	2031A	2,328.0	8.84%
11	2032E	2,404.7	3.30%
12	2033E	2,539.0	5.58%
13	2034E	2,673.3	5.29%
14	2035E	2,807.5	5.02%
15	2036E	2,941.8	4.78%

MARICO LTD - Earnings Per Shares Growth

Year Weught	Year	Sales	Sales Growth
1	2022A	5.5	
2	2023A	5.7	3.79%
3	2024A	8.0	38.54%
4	2025A	7.3	-7.79%
5	2026A	8.5	15.15%
6	2027A	8.9	5.84%
7	2028A	9.1	1.79%
8	2029A	10.5	15.36%
9	2030A	11.2	6.50%
10	2031A	12.4	10.74%
11	2032E	12.7	2.18%
12	2033E	13.4	5.66%
13	2034E	14.1	5.36%
14	2035E	14.8	5.09%
15	2036E	15.5	4.84%

MARICO LTD - Earnings Before Tax Growth

Year Weught	Year	Sales	Sales Growth
1	2022A	1,052.4	
2	2023A	1,032.0	-1.94%
3	2024A	1,154.0	11.82%
4	2025A	1,279.0	10.83%
5	2026A	1,416.0	10.71%
6	2027A	1,503.0	6.14%
7	2028A	1,599.0	6.39%
8	2029A	1,795.0	12.26%
9	2030A	1,908.0	6.30%
10	2031A	2,073.0	8.65%
11	2032E	12.7	-99.39%
12	2033E	13.4	5.66%
13	2034E	14.1	5.36%
14	2035E	14.8	5.09%
15	2036E	15.5	4.84%

WEIGHTED AVERAGE COST OF CAPITAL

All figures are INR unless stated otherwise

Peer Comps

Name of the comps	Country	Total Debt	Total Equity	Tax Rate ¹	Debt/ Equity	Debt/ Capital	Levered Beta ²	Unlevered Beta ³
Marico	India	557.0	1,10,882.1	30.00%	0.50%	0.50%	1.00	1.00
Patanjali Foods	India	2,788.8	36,963.0	30.00%	7.54%	7.02%	1.00	0.95
AWL Agri Busine.	India	1,109.3	25,247.3	30.00%	4.39%	4.21%	1.00	0.97
Gokul Agro	India	589.1	6,319.3	30.00%	9.32%	8.53%	1.00	0.94
CIAN Agro	India	1,199.0	4,285.8	30.00%	27.98%	21.86%	1.00	0.84
Sundrop Brands	India	13.44	2426.79	30.00%	0.55%	0.55%	1.00	1.00
Shri Venkatesh	India		878.8	30.00%	0.00%	0.00%	1.00	1.00

Average	30.00%	7.18%	6.09%	1.00	0.96
Median	30.00%	4.39%	4.21%	1.00	0.97

Cost of Debt

Pre-Tax Cost of Debt	8.40%
Tax Rate	30.00%
Post-Tax Cost of Debt	5.88%

Capital Structure

		Current	Target
Totsl Debt	557.0	0.50%	6.09%
Market Capitalisation	1,10,882.1	99.50%	93.91%
Total Capital	1,11,439.1	100.00%	100.00%

Debt/Equity	0.50%	6.49%
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Cost of Equity

Risk Free Rate	7.39%
Equity Risk Premium	8.02%
Levered Beta ⁴	1.01
Cost of Equity	15.53%

Levered Beta

Comps Median Unlevered Beta	0.97
Target Debt / Equity	6.49%
Tax Rate	30.00%
Levered Beta	1.0142391

Weighted Average Cost of Capital

Cost of Equity	15.53%
Equity Weight	93.91%
Cost of Debt	5.88%
Weight of Debt	6.09%

WACC	14.94%
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Notes:

1. Tax Rate consired as Marginal Tax Rate for the country
2. Levered Beta is based on 5 years monthly data
3. Unlevered Beta = Levered Beta / (1+(1-Tax Rate)*(Debt/equity))
4. Unlevered Beta = Levered Beta * (1+(1-Tax Rate)*(Debt/equity))

Intrinsic Growth

Calculation of ROIC	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Current Assets					
Inventories	1,412.0	1,225.0	1,336.0	1,235.0	1,611.0
Trade receivables -	652.0	1,015.0	1,069.0	1,271.0	1,304.0
Loans n Advances	20.0	110.0	214.0	214.0	162.0
Other asset items	387.0	285.0	421.0	390.0	579.0
Total Current Asset	2,471.0	2,635.0	3,040.0	3,110.0	3,656.0
Current Liabilities					
Trade Payables	1,344.0	1,452.0	1,581.0	1,363.0	2,039.0
Advance from Customers	27.0	46.0	30.0	60.0	63.0
Other liability items	422.0	738.0	1,045.0	2,032.0	2,797.0
Total Current Liabilities	1,793.0	2,236.0	2,656.0	3,455.0	4,899.0
# Net Working Capital	678.0	399.0	384.0	-345.0	-1,243.0
Non- Current Asset					
Land	81.0	71.0	91.0	84.0	99.0
Building	620.0	645.0	706.0	679.0	785.0
Plant Machinery	671.0	748.0	837.0	811.0	964.0
Equipments	26.0	29.0	33.0	32.0	34.0
Furniture n fittings	36.0	39.0	46.0	47.0	59.0
Vehicles	6.0	6.0	6.0	6.0	6.0
Intangible Assets	945.0	1,409.0	1,773.0	1,767.0	2,468.0
Other fixed assets	138.0	68.0	92.0	110.0	145.0
Gross Block	2,523.0	3,015.0	3,584.0	3,536.0	4,560.0
Accumulated Depreciation	(763.0)	(769.0)	(860.0)	(778.0)	(927.0)
Net Non-Current Asset	1,760.0	2,246.0	2,724.0	2,758.0	3,633.0
# Invested Capital	2,438.0	2,645.0	3,108.0	2,413.0	2,390.0
EBIT	1,542.0	1,655.0	1,868.0	1,961.0	2,126.0
# ROIC	63.25%	62.57%	60.10%	81.27%	88.95%

# Calculation of Re-investment	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net CapEx	132	182	153	122	312
Change in working capital		-279	-15	-729	-898
EBIT	1542	1655	1868	1961	2126
Marginal Tax Rate	0.25	0.25	0.25	0.25	0.25

EBIT * (1-EBIT)	385.5	413.75	467	490.25	531.5
Re-investment		97	138	607	586
Re-investment Rate		23.44%	29.55%	123.81%	110.25%

4 Year Average	71.77%
3 Year Median	69.90%

#	Calculation of Growth Rate	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
	Re-investment Rate	23.44%	29.55%	123.81%	110.25%	
	ROIC	62.57%	60.10%	81.27%	88.95%	
	Intrinsic Growth	14.67%	17.76%	100.62%	98.08%	

4 Year Average	57.78%
3 Year Median	57.92%

Calculation of PV of FCFF

Particulars	Mar-26A	Mar-27F	Mar-28F	Mar-29F	Mar-30F
EBIT	1,610.00	1,696.62	1,787.90	1,884.08	1,985.45
Tax Rate	25.00%	25.00%	25.00%	25.00%	25.00%
EBIT(1-Tax)	1,207.50	1,272.46	1,340.92	1,413.06	1,489.09
Less- Re-investment Rate	69.90%	69.90%	69.90%	69.90%	69.90%
Free Cash Flow to Firm (FCFF)	844.07	889.48	937.33	987.76	1,040.90
Mid Year Convention		0.5	1.5	2.5	3.5
Discounting Factor		0.933	0.812	0.706	0.614
PV of FCFF		829.67	760.67	697.42	639.42

Expected Growth	57.92%
Terminal Growth	5.38%
WACC	14.94%

Calculation of Terminal Value

FCFF (n+1)	1,643.77
WACC	14.94%
Terminal Growth Rate	5.38%

Terminal Value	17,197.77
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Calculation of Equity Value per share

PV of FCFF	2,927.18
PV of Terminal Value	10,564.49
Value of Enterprise /Firm	10,564.49

Add: Cash	493.00
Less: Debt	355.00
Value of Equity	10,702.49
Number of Shares	129.84

Equity Value Per Shares	82.43
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Share Price	863
Discount/Premium	9.47x